

SUDAN

Table 1 2020

Population, million	43.8
GDP, current US\$ billion	20.4
GDP per capita, current US\$	465.8
International poverty rate (\$ 19) ^a	12.2
Lower middle-income poverty rate (\$ 3.2) ^a	44.0
Upper middle-income poverty rate (\$ 5.5) ^a	79.3
Gini index ^a	34.2
School enrollment, primary (% gross) ^b	76.8
Life expectancy at birth, years ^b	65.3
Total GHG Emissions (mtCO ₂ e)	117.6

Source: WDI, Macro Poverty Outlook, and official data.

(a) Most recent value (2014), 2011 PPPs.

(b) WDI for School enrollment (2017); Life expectancy (2019).

The Government remains committed to stabilizing the economy and containing the fiscal deficit, but success will depend on measures to bring mounting energy subsidies under control. Economic growth is expected to turn positive at 0.9 percent in 2021 following three years of recession. Poverty is estimated to have increased in 2020 and 2021 and risks of increased vulnerability and poverty remain elevated but can be mitigated, to some extent, by expansion of the Sudan Family Support Program (SFSP).

Key conditions and challenges

Sudan's Transitional Government has forged ahead with ambitious reforms to address macroeconomic imbalances and contain the fiscal deficit. In FY2021, these reforms include liberalizing the exchange rate, sharply reducing fuel subsidies, and rolling out the SFSP. By clearing arrears to Multilateral Financial Institutions (MFIs), Sudan has embarked on full re-engagement with these institutions, paving the way for the country to access external support, including nearly USD 2 billion in grants from the World Bank. The government has also committed to adopt a zero ceiling on the contraction of non-concessional debt and to the regular publication of debt data.

Although Sudan received a boost from some capital inflows following the exchange rate unification, the country is still struggling to turn the corner toward stabilization and economic growth in 2021. Exchange rate unification has increased capital inflows through official channels and has helped improve the trade balance, increase remittances, and shift the current account into a surplus in early 2021. However high inflation persists, due to monetization of the fiscal deficit in the absence of government debt markets. Government must continue to address energy subsidies in a bold manner, to contain the fiscal deficit.

Major risks to economic stabilization include uncertainty around COVID-19,

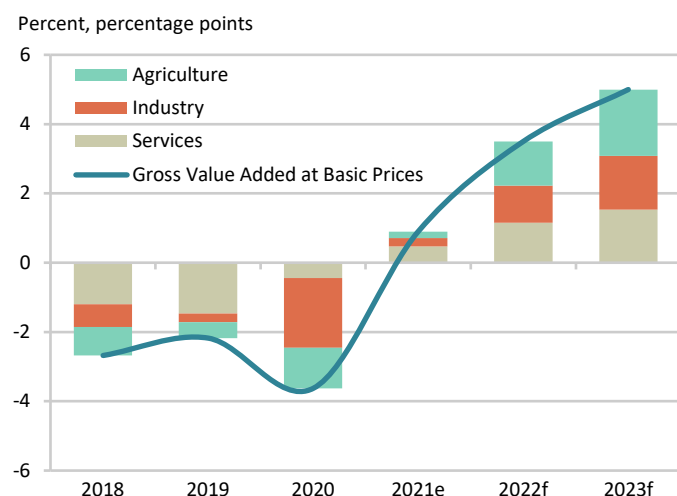
flooding, and potential instability of money demand in the context of exceptionally high inflation. The COVID-19 pandemic, and negative external shocks, such as flooding in 2020, could exacerbate an already difficult situation. Results from the Bank's ongoing COVID-19 high frequency survey suggest that about one-third of households are worried about having enough food to eat, and many modified their eating habits. These impacts are partially mitigated by the Sudan Family Support Program (SFSP) which is providing cash transfers to households.

Recent developments

A third wave of COVID-19 hit Sudan in April and May, prompting a reinstatement of various containment measures and travel bans. However, the adverse impacts of COVID-19 containment measures were mitigated by government's policy permitting the food industry to operate under strict adherence to ministry of health guidelines. Non-food industries (i.e., tourism, cloth manufacturing) were closed from April until July. As a result, agriculture has fared better relative to other sectors in the first half of 2021.

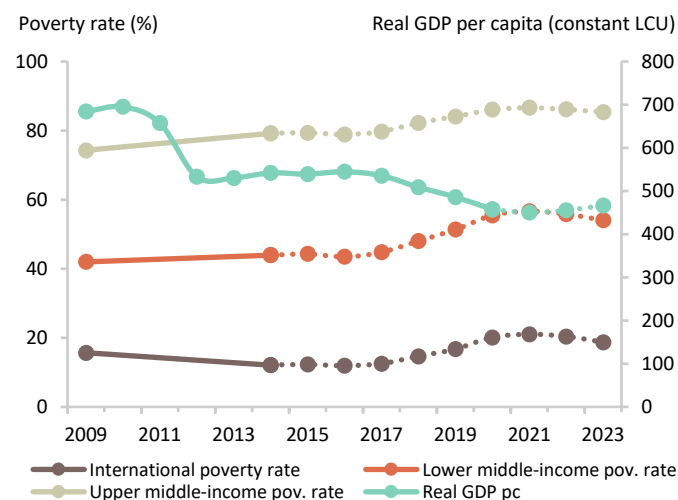
The balance of payments received a boost from exchange rate liberalization, with net capital inflows turning strongly positive in the second quarter of the year. The trade balance also improved with higher gold prices and an increase in gold exports, leading to a 240 percent increase in the value of gold exports in the first half of

FIGURE 1 Sudan / Real GDP growth and sectoral contributions to real GDP growth



Sources: National Bureau of Statistics and World Bank staff calculations.

FIGURE 2 Sudan / Actual and projected poverty rates and real GDP per capita



Source: World Bank. Notes: see Table 2.

2021 relative to the same period in 2020. A positive balance of payments position has allowed for a much-needed accumulation in gross foreign exchange reserves of US\$ 160 million in the first half of 2021.

Inflation continued to accelerate in the first half of 2021, registering a record high of 422.8 percent in July (in annual terms). Reducing inflation remains the primary policy objective of the Government in 2021, and Sudan has been working under ambitious targets on fiscal consolidation and slower monetary expansion, supported by the IMF program. The Government made important reform progress in the first half of 2021, bringing down the fiscal deficit to an estimated 2.2 percent of GDP and limiting growth of currency in circulation to 36 percent. Following a period of stability after unification, the exchange rate started to depreciate in April, moving from 381 to 485 SDGs to the dollar by early June; as of mid-August it appreciated somewhat, to 450. Based on estimates using the latest household survey from 2014, and GDP growth

projections, poverty rates may have increased in 2020, reaching an estimated 20.2 percent at \$1.90/day PPP and 55.5 percent at \$3.20/day PPP. These estimated trends are supported by data from the recent high frequency COVID-19 survey. Overall, 26 percent of the men and 10 percent of the women that lost their jobs at the onset of the pandemic remained unemployed in April 2021. The SFSP is helping to mitigate some of these effects. To date, of the 2.5 million households registered, 1 million have received at least one payment, with 25 percent of these going to households headed by women.

Outlook

GDP growth is expected to pick up to 0.9 percent in 2021, from -3.6 percent in 2020, driven by favorable conditions in agriculture and improved economic activity as the COVID-19 related restrictions were

lifted. Economic growth is expected to rebound further in 2022 and 2023, as progress towards economic stabilization leads to higher capital inflows and development financing. On the supply side, services are expected to be the main driver of growth in the short term. Against continued fiscal consolidation, inflation is expected to slow down to double digits in 2023. Tax and customs reforms should have a positive impact on revenue mobilization. On the expenditure side, a sharp reduction in subsidies is expected facilitate increased social spending and transfers to states. In addition, continued efforts to contain the fiscal deficit would reduce the need for monetization and moderate the expansion of the money supply. The pace of poverty reduction is expected to be slow. Projections suggest poverty will continue to increase until 2021. Even though poverty is expected to start declining in 2022, poverty rates measured by all poverty lines are still higher than the pre-COVID levels in 2023.

TABLE 2 Sudan / Macro poverty outlook indicators

(annual percent change unless indicated otherwise)

	2018	2019	2020	2021 e	2022 f	2023 f
Real GDP growth, at constant market prices	-2.7	-2.2	-3.6	0.9	3.5	5.0
Private Consumption	-2.5	-0.9	-3.4	2.4	4.7	5.8
Government Consumption	-2.5	-10.9	-6.0	1.0	2.5	4.1
Gross Fixed Capital Investment	-2.3	-0.2	-5.8	-7.0	7.7	8.3
Exports, Goods and Services	7.6	6.9	5.0	7.7	25.0	24.4
Imports, Goods and Services	2.4	-0.9	-3.9	26.0	21.3	16.0
Real GDP growth, at constant factor prices	-2.7	-2.2	-3.6	0.9	3.5	5.0
Agriculture	-1.8	-1.0	-2.5	0.4	2.7	4.1
Industry	-1.9	-0.7	-5.7	0.7	3.1	4.5
Services	-6.1	-7.8	-2.5	2.6	6.3	8.2
Inflation (Consumer Price Index)	63.3	51.0	163.3	347.0	112.0	34.4
Current Account Balance (% of GDP)	-9.3	-11.4	-13.2	-5.9	-5.5	-5.2
Net Foreign Direct Investment (% of GDP)	3.4	2.8	2.1	3.6	4.3	4.5
Fiscal Balance (% of GDP)	-7.9	-10.8	-5.9	-2.9	-1.5	-1.0
Debt (% of GDP)^a	185.6	200.3	249.1	208.6	191.9	184.0
Primary Balance (% of GDP)	-7.8	-10.6	-5.9	-2.8	-1.3	-0.8
International poverty rate (\$1.9 in 2011 PPP)^{b,c}	14.7	16.8	20.2	21.0	20.5	18.8
Lower middle-income poverty rate (\$3.2 in 2011 PPP)^{b,c}	48.1	51.4	55.5	56.7	55.9	54.1
Upper middle-income poverty rate (\$5.5 in 2011 PPP)^{b,c}	82.3	84.1	86.1	86.7	86.2	85.4
GHG emissions growth (mtCO₂e)	0.5	-0.8	-2.5	-2.3	-0.2	1.0
Energy related GHG emissions (% of total)	15.5	15.1	14.5	14.3	14.9	15.8

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.

Notes: e = estimate, f = forecast.

(a) Debt projections do not include any restructuring achieved during the HIPC process.

(b) Calculations based on 2014-NBHS. Actual data: 2014. Nowcast: 2015-2020. Forecast are from 2021 to 2023.

(c) Projection using neutral distribution (2014) with pass-through = 1 based on GDP per capita in constant LCU.